

U.S. Medical Devices

Johnson & Johnson

Rating

Market-Perform

Price Target



261.00 USD (251.00 OLD)



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Johnson & Johnson 2Q26: Solid beat and raise, reassuring commentary on underlying medtech trends

Solid beat and raise. Sales grew 5.7% organic (Pharma 6.9% / MedTech 3.7%), beating by 1.1%. Adj EPS grew 4.7% to \$2.90 and beat by 1.2%. After a Q2 beat of \$275mn and 3c on revenue and EPS, JNJ raised FY26 revenue guidance by \$300mn and EPS by 12.5c (Exhibit 1). JNJ is on track for \$100bn revenue in 2026, and the company is confident about line of sight to double-digit revenue growth by the end of the decade.

Pharma was strong again, with 6.9% organic growth despite a 760bps Stelara headwind. TREMFYA remains a standout with 71% growth supported by the IBD indication, while INLEXZO and ICOTYDE are ramping quickly. Management reiterated confidence in becoming the #1 oncology company by 2030.

Small MedTech miss (by 0.7%) on Abiomed weakness. Small beats in Ortho (1.4% beat), Surgery (1.3% beat), and Vision (1.5% beat) were offset by Cardiovascular weakness (5.4% miss). The shortfall was driven by Abiomed, where sales declined 2% (14% miss) as U.S. procedure volumes fell following the March readout of the [CHIP-BCIS3 trial](#).

Confident on MedTech procedure trend. After HCA highlighted year-over-year declines in inpatient and outpatient procedure volumes in yesterday's Q2 pre-release (see [our take](#)), investors were eager to hear JNJ's view on market trends. JNJ sees no sign of a slowdown in underlying procedure markets and no impact from declining enrollment in ACA or Medicaid. In fact, JNJ forecasts acceleration from 1H26 to 2H26 in all four of its MedTech businesses.

Investment Implications

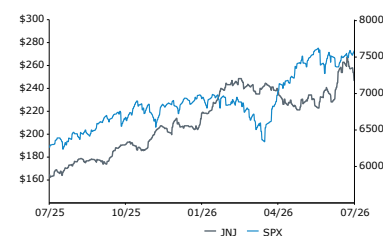
We rate JNJ Market-Perform with a price target of \$261 (up from \$251) using a target P/E multiple of 19.5x (unchanged) against our forward Q5-Q8 EPS estimate of \$13.38 (up from \$12.88). For more color, see our [takeaways from SDC](#) and [1Q25 recap](#). Model: [JNJ](#).

Adjusted EPS	F25A	F26E	F27E
JNJ (USD)	10.75	11.65	12.81
OLD	--	11.54	12.62

Financials	F25A	F26E	F27E	CAGR
Operating Earnings (M)	30,451	32,142	34,001	5.7%
Net Earnings (M)	26,034	27,565	29,281	6.1%
Adj. Operating Margin (%)	32.5	32.7	33.3	--
ROIC (%)	20.5	20.7	22.3	--
Organic Sales Growth (%)	3.5	4.5	3.9	--
Revenues (M)	94,193	100,963	108,544	7.3%

Close Date	15 Jul 2026			
JNJ Close Price (USD)	247.02			
Price Target (USD)	261.00			
Upside/(Downside)	6%			
52-Week Range	269.43/154.80			
SPX	7,572.40			
FYE	Dec			
Div Yield	2.2%			
Market Cap (USD) (M)	594,631			
EV (USD) (M)	627,567			
Performance	YTD	1M	6M	12M
Absolute (%)	19.4	4.8	12.5	59.2
SPX (%)	10.6	0.2	9.0	21.3
Relative (%)	8.7	4.6	3.5	37.9
Source: Bloomberg, Bernstein estimates and analysis.				

Price Performance, 1YR



Source: Bloomberg, Bernstein estimates and analysis.

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our [Global Research Disclosure Website](#).

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DETAILS

Solid quarter with 1% revenue beat driven by Innovative Medicine

Sales of \$25.3bn grew 5.7% organic despite a 760-bps headwind from declining STELARA sales. Growth in the U.S. was 7.4% organic and 3.5% organic outside the U.S. Acquisitions and divestitures had a net negative impact on WW growth of 10bps. Innovative Medicine sales of \$16.4bn beat consensus by ~2% on 6.9% organic growth. MedTech sales of \$8.9bn missed consensus slightly (-0.7%) on 3.7% organic growth. JNJ affirmed that they are on track to meet their 2026 target of more than \$100bn annual revenue for the first time, and management remains confident that progress will continue into 2027 with line of sight to double-digit revenue growth by the end of the decade.

Adj EPS rose 4.7% to \$2.90, slightly above consensus (\$2.87). COGS leveraged by 30bps, driven by favorable operational drivers in currency, partially offset by unfavorable product mix in the Innovative Medicine business, as well as the impact of tariffs in the MedTech business. SG&A deleveraged by 60bps, driven by increased investments in new product launches. R&D leveraged by 40bps, primarily driven by expense phasing in Innovative Medicine, partially offset by increased investment in MedTech.

Looking at adj income before tax by segment for the quarter, Innovative Medicine margin declined from 42.7% to 42.5%, primarily driven by unfavorable mix and heavier investments in new product launches, partially offset by expense phasing in R&D. MedTech margin declined from 22.2% to 22.0%, primarily driven by commercial investments, increased R&D, and the increased impact of tariffs, partially offset by favorable operational drivers in currency and cost of products sold. Overall, adj income before tax for the enterprise as a percentage of sales decreased from 34.5% to 34.2%.

Confident on MedTech procedure trend

JNJ sees no sign of procedure growth slowdown, despite fears after HCA pre-released 2Q26 revenue yesterday and highlighted a 2.3% decline in same-facility inpatient surgery volumes and a 3.4% decline in same-facility outpatient surgery volumes (see [our takeaways on HCA's pre-release](#)). Hospital commentary has stoked fears that utilization growth could slow in 2H26, driven in part by declining enrollment in ACA plans and cuts to Medicaid. JNJ was very clear they were not seeing any impact in their business.

*"To your question about procedure volumes, from our perspective, when we look across the breadth of our portfolio, **we see that volumes are generally in line with market trends, and we're not currently seeing any evidence of a broad-based slowdown** in activity. Demand remains consistent with what we would expect, given the fundamentals of these markets [...] We are acutely aware of the recent data that has been provided by a number of large US hospital operators, highlighting pressure on certain procedure volumes, particularly in more elective areas of care. And **while we're monitoring these trends very closely, they are not reflected in what we're seeing across our portfolio today**. As you know, our business is diversified across a broad range of categories, many of which are less dependent on discretionary elective procedures. And from our perspective, **overall procedure trends remain consistent in the quarter with our expectations**. [...] there has been a bunch of chatter about the potential impact of the ACA subsidy removals. Based on what we're seeing,... **we haven't observed any meaningful impact on procedure volumes across our portfolio related to the ACA**. And while we expect that the expiration of the Affordable Care Act subsidies may create some affordability pressures for a small cohort of patients, we do not expect this to translate into a material impact on demand for MedTech and procedures. **And so to be clear, we would not attribute our MedTech performance in Q2 to a systemic slowdown in procedures.**"*

In a follow-up, management confirmed that consensus miss in U.S. Knees (-3%) and in U.S. Spine (-1%) were the result of market dynamics (softening trend in JNJ's higher-value revision knees business; competitive pressures in U.S. Spine) rather than representative of utilization pressure on elective procedures.

FY 26 sales, EPS guidance raised

Per Exhibit 1, management raised 2026 (1) adjusted operational sales growth guidance by 40bps at the midpoint to 6.2%-6.8% (vs prior range of 5.6%-6.6%) and (2) adj EPS guidance by ~13 cents at the midpoint to \$11.60-\$11.75 (vs prior \$11.45-\$11.65).

P&L considerations. In 2026, JNJ benefits from a 53rd week in the financial calendar worth ~100bps to full year sales growth (53rd week impacts Q426). The Intra-Cellular benefit lapped in Q2. Heavier investment is expected in 1H26 vs 2H26 while higher EPS growth is expected in 2H26 vs 1H26.

Phasing considerations. For Innovative Medicine, JNJ set expectations for: (1) more pronounced impact from newly launched products as the year progresses, (2) generic competition for OPSUMIT (second half in U.S.) and SIMPONI (first half in EU; potentially second half in U.S.), and (3) impact of voluntary agreement with the U.S. government to be evenly distributed throughout the year. For MedTech, JNJ expects (1) continued acceleration of newly launched products as the year progresses with normalized seasonality, (2) surgery transformation sales headwinds to increase through the year, and (3) additional rounds of VBP in China throughout the year (heavier in 2H26).

2H acceleration expected in both Innovative Medicine and MedTech. Management noted that Innovative Medicine 2H growth would be driven by emerging growth in ICOTYDE, INLEXZO, and TREMFYA with the launch of its IBD indication. MedTech's 2H growth is expected to be driven by continued strength in Orthopaedics, Surgery, and Vision, along with a recovery in Cardiovascular as Abiomed rebounds toward the end of 2026 and China inventory-related headwinds in EP, which created a one-time 400bps impact, subside. JNJ also emphasized the company's slate of Cardiovascular launches in the pipeline expected to accelerate segment growth in 2H.

*"...we always had a little bit better revenue growth projected in the second half of the year, irrespective of the extra week of sales that will occur in the fourth quarter. **When you think about products that are really in their infancy with respect to ICOTYDE, INLEXZO and just the emergence of TREMFYA continuing to do well with the IBD indications that were received over the last 18 months, there was always that projection.** [...] we do **expect MedTech to grow better in the second half** than the first half as well. We have tempered expectations around the Abiomed business with respect to that. So we see that recovery happening, but probably as we leave this year into next year. So not declines, but more modest growth until our PROTECT IV data comes out."*

Within MedTech, management confirmed in a follow-up that all MedTech segments - Orthopedics, Surgery, Vision, and Cardiovascular - are expected to grow faster in 2H26.

EXHIBIT 1: After a Q2 beat of \$275mn and 3c on revenue and EPS, JNJ raised FY26 revenue guidance by \$300mn and EPS by 12.5c

Johnson & Johnson (JNJ) Guide as of: For Period:	1/21/2026 FY26	4/14/2026 FY26	7/15/2026 FY26	Pre-Event Consensus FY26	Pre-Event BERNe FY26	Bernstein Forecast FY26
Adj Operational Sales (\$bn)						
Δ vs PY (Organic Growth)	5.4% - 6.4%	5.6% - 6.6%	6.2% - 6.8%		5.9%	6.4%
M&A (%)	0.3%	0.3%	0.3%		0.3%	0.2%
M&A (\$bn)	\$0.3	\$0.3	\$0.3		\$0.2	\$0.2
Operational Sales (\$bn)	\$99.5 - \$100.5	\$99.7 - \$100.7	\$100.3 - \$100.9		\$100.0	\$100.5
Δ vs PY (CC Growth)	5.7% - 6.7%	5.9% - 6.9%	6.5% - 7.1%		6.2%	6.7%
FX (%)	0.5%	0.6%	0.5%		0.8%	0.5%
FX (\$bn)	\$0.5	\$0.6	\$0.5		\$0.8	\$0.5
Reported Sales (\$bn)	\$100.0 - \$101.0	\$100.3 - \$101.3	\$100.8 - \$101.4	\$101.1	\$100.8	\$101.0
Δ vs PY (Reported Growth)	6.2% - 7.2%	6.5% - 7.5%	7.0% - 7.6%		7.0%	7.2%
Net Interest Expense (Income) (\$mn)	\$300 - \$400	\$300 - \$400	\$250 - \$300	\$362	\$304	\$262
Net Other Income (\$bn)	\$1.0 - \$1.2	\$1.0 - \$1.2	\$1.0 - \$1.2	\$1.11	\$1.13	\$1.17
Adjusted Pre-Tax OP Margin	~32.7% (up 50bps)	~32.7% (up 50bps)	~32.95% (up 75bps)	33.3%	32.8%	33.0%
Effective Tax Rate	17.5% - 18.5%	17.5% - 18.5%	17.0% - 18.0%	17.7%	17.2%	17.1%
Adj Operational EPS (CC)	\$11.28 - \$11.48	\$11.30 - \$11.50	\$11.50 - \$11.65		\$11.39	\$11.50
Δ vs PY	4.5% - 6.5%	4.7% - 6.7%	6.6% - 8.0%		6.0%	7.0%
FX (cents)	\$0.15	\$0.15	\$0.05		\$0.15	\$0.15
Adj EPS	\$11.43 - \$11.63	\$11.45 - \$11.65	\$11.60 - \$11.75	\$11.59	\$11.54	\$11.65
Δ vs PY	5.9% - 7.9%	6.1% - 8.1%	7.5% - 8.9%		7.4%	8.4%

Source: Company reports; Bloomberg; Bernstein estimates & analysis

Innovative Medicine beats by 2%; plenty of growth drivers

Innovative Medicine grew 6.9% to \$16.4bn and beat consensus by ~2% despite the ~760-bps headwind from STELARA.

Becoming the “#1 oncology company by 2030.” Oncology sales grew 16.1% WW to \$7.41bn but missed consensus (\$7.48bn) by 1.1%, reflecting broad based momentum across multiple myeloma and solid tumor launches, though results were modestly below consensus in RYBREVANT, ERLEADA, and IMBRUVICA. That said, management remains confident in its ambition to become the “#1 oncology company by 2030,” with oncology sales projected to exceed \$50bn (2030 consensus currently \$48.2bn). Management specifically highlighted DARZALEX’s performance in Q2, delivering sales of \$4.2bn and growth of 17.6% YoY, while emphasizing the depth of the portfolio — including multiple myeloma assets CARVYKTI, TECVAYLI, and TALVEY, which continued to deliver high DD growth. Despite coming in below consensus, ERLEADA (4.1% miss) and RYBREVANT (6.8% miss) both saw robust underlying growth, increasing 7.6% and 62% YoY, respectively. Management also remains encouraged by the early momentum of the recently approved INLEXZO, which expands the franchise into bladder-sparing therapy and underscores the company’s push into earlier-stage, procedure-adjacent oncology care.

“In the US, INLEXZO is outperforming all of the recent competitive launches. And as you know, noted one in three eligible patients are now starting on in INLEXZO regimen. And this is an uptick versus first quarter where it was one in four last quarter. It’s now one in three, and it’s leading all of the novel agents in terms of new patient share. In terms of new patients and new patient insertions, those grew 75% quarter-over-quarter. And this was post the permanent J-code, so giving a lot of confidence to providers in terms of that reimbursement. Importantly, INLEXZO is included in the NCCN guidelines with a Category 2A designation, and they’ve been updated to expand the opportunity to include the papillary population, which represents about 80% of the BCG unresponsive patients. While we don’t report sales on this yet, please know that we confidently beat consensus for the quarter, and we more than doubled sales in second quarter versus first quarter. So we believe that we’re really on a very, very good track with this.”

ICOTYDE continues to show strong early launch momentum, with management highlighting rapid uptake and broad prescriber adoption in the first few months post-FDA approval (March 2026). JNJ sees ICOTYDE as a key driver of their immunology growth and as a pillar of its strategy to expand beyond injectable biologics.

“To date, over 18,000 prescriptions have been written for a total of now 11,000 patients. So that’s an update from the 10,000 just shortly. There are 6,000 unique prescribers, and if you take a look at those, over 50% are actually advanced practice providers. About 40% are dermatologists, and the rest are our primary care physicians and others. And so that tells us that there’s really good confidence in the product in both the efficacy and safety profile as well as the simplicity of the simple once-daily pill. We’re already seeing a number of writers who are repeat. We’re seeing patients getting repeat prescriptions. As we take a look at the payer coverage, within 90 days we already have over 50% of commercial coverage. And so we think that’s great. That’s actually a little bit ahead of our projections.”

Management explicitly noted that strong ICOTYDE growth has not slowed TREMFYA at all in psoriatic disease, with both products performing well in the quarter and being co-positioned: ICOTYDE as first line systemic, TREMFYA as first line biologic.

“And then in terms of really co-positioning, ICOTYDE is the first choice systemic treatment. All of those patients who’ve been cycling on topicals, who really need to have advanced therapy, we think ICOTYDE fits right in that sweet spot as that first choice systemic. For TREMFYA, we think it’s the first choice biologic, particularly for patients that have potential for or have any psoriatic arthritis involvement. And many, many patients, a significant percentage with psoriasis actually progress to psoriatic arthritis as well. So we think really distinct and unique positions for both and well reflected in the results that we saw in the quarter with both products doing really well.”

TREMFYA growth bolstered by IBD indication. TREMFYA saw yet another strong quarter, with sales growing 71% YoY to \$2.04bn and a consensus (\$1.83bn) beat of 11.7%. While part of the robust growth was driven by share gains across all indications and continued market growth, management explicitly pointed out their performance in ulcerative colitis (UC) and Crohn’s disease as the major driver. TREMFYA now spans plaque psoriasis, psoriatic arthritis, and inflammatory bowel disease (IBD), with U.S. approvals in both moderately to severely active UC and Crohn’s disease.

Neuroscience growth robust at 13.4% (~3% beat), as strength continued in SPRAVATO and CAPLYTA. SPRAVATO growth was strong at 40%, driven by continued increased physician and patient demand. CAPLYTA also saw very strong growth at 70.9%, with new patient starts up 122% YoY, significantly outpacing the market leader. Growth was driven by strong continued launch momentum in adjunctive major depressive disorder.

Firefly Bio acquisition. JNJ announced a \$1bn cash agreement on June 8 to acquire Firefly Bio (private), a biotechnology company advancing its proprietary Firelink degrader antibody conjugate (DAC) platform, in order to strengthen JNJ's oncology pipeline. Management expects the acquisition to close in 3Q26.

Small miss for MedTech (3.7% growth; 0.7% miss), dragged down by Cardiovascular (especially Abiomed)

Sales grew 3.7% to \$8.9bn with divestitures negatively impacting growth by 0.1%. Growth was driven by consensus beats in Orthopaedics (1.4%), Surgery (1.3%), and Vision Care (1.5%), but offset by weakness in Cardiovascular (5.4% miss). Of the ~\$80mn miss in U.S. MedTech, most of the weakness came from lower-than-expected Abiomed U.S. sales (~\$60mn miss) and U.S. Electrophysiology (~\$16mn miss). Outside the U.S., JNJ MedTech sales grew 3.2% organic to \$4.4bn, slightly ahead of consensus.

Abiomed sales decline on CHIP-BCIS3 readout. At ACC.26 in late March, the trial readout for CHIP-BCIS3 ([see recap](#)) raised questions for JNJ's Abiomed business. The UK-based, 300-patient trial was designed to test whether JNJ's Impella left ventricular assist (pLVAD) device reduces major adverse events during high-risk PCI procedures in patients with severe left ventricular dysfunction and extensive coronary artery disease. The results showed that Impella CP did not reduce major adverse events when used in the setting of high-risk PCI. Physician caution following the trial readout led to a slowdown in Impella usage, as global Abiomed sales of \$440mn declined 2% organic (13.7% miss) on lower U.S. procedures, partially offset by continued OUS growth including sustained adoption of Impella 5.5.

Management is optimistic that the Abiomed business will recover towards the end of 2026, and emphasized that (1) they are actively engaging with physicians and their teams to reinforce appropriate patient selection and that (2) results from PROTECT IV are expected to read out in 2027 and should bolster the Impella case. PROTECT IV ([see trial](#)) is a multicenter, ~1,300-patient trial that assesses whether using the Impella CP or Impella 2.5 device during high-risk PCI in patients with reduced left-sided heart function will result in an improvement in symptoms, heart function and health after a heart procedure compared to the current standard of care.

*"...we believe that the slowdown is in relation to specifically a neutral study published out of the UK focused on the area of high risk PCI. And I think **it's important, firstly, to really reinforce that the impact is behavioral. It's really driven by physician caution as they really interpret this new data rather than anything structural.** And there's no change in the underlying need, access or reimbursement. These are the sickest patients, many of whom have very few choices. And so we clearly see this as a **near-term dynamic.** We've seen this before and we are **actively engaging with physicians and their teams** to really reinforce appropriate patient selection, leveraging both our capabilities, but most importantly, the depth of our clinical evidence base. And I think it's important to put this in context and recognize that the area of heart pumps is a category that Abiomed pioneered. And **we are the only player today, and it remains a relatively evolving area of medicine.** And with any emerging field, you know that scientific perspectives will continue to evolve. And that's exactly why we remain committed to really investing in robust clinical research, including... **PROTECT IV, which is a highly powered study. Almost 1,300 patients focused specifically on high risk PCI, which we expect to read out in 2027. [...] So we remain very confident the long-term potential for Impella,** supported by the significant runway for growth, no current commercialized competitors, which is a key point, opportunities for further geographic expansion, and the large and growing global burden of heart disease. [...] **we do expect this to take some time, but we absolutely expect that our performance in the back half will be stronger than the first.** And we see gradual improvements in performance **back to double-digit growth over the coming quarters.**"*

EP sales grew 3.1%, (3.4% miss). Performance was driven by procedure growth, commercial execution, and new product performance (VARIPULSE, TRUPULSE, NUVISION, and CRYSTAL), but partially offset by competitive pressures in PFA and a one-time, 400bps impact from China inventory dynamics. JNJ highlighted several 2026 growth catalysts in the EP portfolio, including CARTOSOUND SONATA (launched Q2 at HRS 2026), Dual Energy STSF Catheter (received FDA approval and expected to launch this year), and VARIPULSE PRO (expected to build momentum in EMEA and anticipated FDA approval later this year).

Shockwave sales grew 14.7% (3.8% miss). Double-digit growth was driven by continued strong adoption of coronary and peripheral portfolios and new product launches (C2 Aero IVL catheter).

Ortho sales grew 4.2% (1.4% beat), with growth across all platforms driven by new product launches and strong commercial execution. In our follow-up, management clarified that hospital utilization pressures were not the driver of the weakness in

U.S. knees or spine, alleviating concerns around elective procedure demand. U.S. Knees missed consensus by ~3% driven by a softening trend in revision knees, where JNJ is over-indexed. U.S. Spine came in ~1% below consensus on competitive pressures. Management affirmed that the ortho separation is still on track for mid-2027.

Consensus beats in Surgical (2.3% growth, 1.3% beat) and Vision Care (5.6% growth, 1.5% beat). Management is anticipating FDA approval for Ottawa in 2H26 after being submitted on 7-Jan-2026, with a second IDE trial underway for inguinal hernia repair. Assuming an approval comes through, JNJ is committed to launching both Ottawa and Monarch for urology (kidney stones) this year. Management continues to expect robotics to be *“a meaningful contributor to MedTech growth by the end of the decade.”*

APPENDIX - FINANCIAL FORECASTS

EXHIBIT 2: Johnson & Johnson (JNJ) Financial Model

Adjusted Income	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26E	4Q 26E
MedTech	27,059	27,458	30,401	31,857	33,791	35,328	36,794	38,370	8,019	8,542	8,429	8,801	8,635	8,927	8,574	9,192
Pharma	51,718	52,697	54,758	56,965	60,605	65,635	71,749	77,643	13,873	15,202	15,563	15,763	15,426	16,384	16,709	17,117
Sales (adj)	93,775	79,990	85,159	88,821	94,193	100,963	108,544	116,013	21,893	23,743	23,993	24,564	24,062	25,310	25,283	26,309
COGS (adj)	24,874	20,025	21,411	22,468	25,457	27,159	29,086	30,968	6,177	6,334	6,231	6,715	6,824	6,759	6,515	7,060
Gross profit (adj)	68,901	59,965	63,748	66,353	68,736	73,805	79,458	85,045	15,716	17,409	17,762	17,849	17,238	18,551	18,767	19,248
SG&A (adj)	24,635	20,218	21,483	22,853	23,676	25,245	26,924	28,604	5,112	5,889	5,922	6,753	6,034	6,415	6,063	6,733
R&D (adj)	14,629	13,672	14,805	17,034	14,702	15,290	16,331	17,342	3,219	3,559	3,672	4,252	3,527	3,651	3,768	4,344
Operating income (adj)	29,637	26,075	27,460	26,466	30,358	33,270	36,203	39,099	7,385	7,961	8,168	8,844	7,677	8,485	8,936	8,172
Interest expense (adj)	130	-214	-489	-577	-85	262	-40	-100	-128	48	18	-23	43	62	82	75
Other expense (income) (adj)	-963	-1,684	-1,862	-1,936	-1,238	-1,169	-1,000	-1,000	-498	-275	-286	-179	-187	-237	-350	-395
Earnings before taxes (adj)	30,470	27,973	29,811	28,979	31,681	34,177	37,243	40,199	8,011	8,188	8,436	7,046	7,821	8,660	9,204	8,492
Taxes (adj)	4,269	4,177	4,402	4,737	5,466	5,838	6,514	6,829	1,305	1,489	1,635	1,037	1,207	1,579	1,795	1,257
Net income (adj)	26,201	23,796	25,409	24,242	26,215	28,339	30,728	33,369	6,706	6,699	6,801	6,009	6,614	7,081	7,409	7,235
Diluted EPS (adj)	\$9.80	\$8.93	\$9.92	\$9.98	\$10.75	\$11.65	\$12.81	\$14.04	\$2.77	\$2.77	\$2.80	\$2.46	\$2.70	\$2.90	\$3.05	\$3.00
Avg Diluted Shares (M)	2,674.0	2,663.9	2,560.4	2,429.4	2,439.0	2,432.2	2,398.6	2,377.5	2,423.8	2,419.1	2,428.6	2,439.0	2,445.2	2,440.1	2,431.8	2,411.8
EBITDA	32,217	33,045	34,946	33,805	37,861	40,839	43,549	45,927	9,157	9,904	9,945	8,855	9,681	10,620	10,633	9,905

Growth Rates (YoY)	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26E	4Q 26E
Organic																
MedTech	16.8%	6.1%	7.8%	4.7%	4.3%	4.0%	4.1%	4.3%	1.3%	4.1%	5.7%	5.9%	4.7%	3.7%	2.7%	5.4%
Pharma	13.6%	6.8%	4.9%	5.8%	4.1%	7.4%	9.3%	8.2%	4.4%	2.4%	3.7%	6.2%	5.6%	6.9%	8.6%	9.8%
Total	12.8%	6.5%	5.9%	5.4%	4.2%	6.2%	7.5%	6.9%	3.3%	3.0%	4.4%	6.1%	5.3%	5.7%	6.5%	8.2%
Currency	0.8%	-4.9%	-1.0%	-1.6%	0.7%	0.8%	0.0%	0.0%	-1.8%	1.2%	1.4%	1.9%	3.5%	1.0%	-1.1%	-1.1%
M&A	1.3%	0.0%	1.5%	0.5%	1.1%	0.2%	0.0%	0.0%	0.9%	1.6%	1.0%	1.0%	1.1%	-0.1%	0.0%	0.0%
Reported Growth	15.0%	1.6%	6.4%	4.3%	6.1%	7.2%	7.5%	6.9%	2.4%	5.8%	6.8%	9.1%	9.9%	6.6%	5.4%	7.1%
EBITDA	17.7%	2.6%	5.8%	-3.3%	12.0%	7.9%	6.6%	5.5%	1.2%	4.3%	19.3%	27.9%	-2.3%	6.8%	20.1%	11.9%
Operating Income (adj)	19.5%	-12.0%	5.3%	-3.6%	14.7%	9.6%	8.8%	8.0%	2.1%	3.2%	25.9%	36.1%	-3.6%	3.9%	30.6%	19.4%
EPS (adj)	22.1%	-8.8%	11.1%	0.6%	7.7%	8.4%	9.9%	9.6%	2.2%	-1.9%	15.7%	20.9%	-2.3%	3.6%	23.7%	21.8%

Key ratios	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26E	4Q 26E
Gross margin	73.5%	75.0%	74.9%	74.7%	73.0%	73.1%	73.2%	73.3%	71.8%	73.3%	74.0%	72.7%	71.6%	73.3%	74.2%	73.2%
SG&A	26.3%	25.3%	25.2%	25.7%	25.1%	25.0%	24.8%	24.7%	23.3%	24.8%	24.7%	27.5%	25.1%	25.3%	24.0%	25.6%
R&D	15.6%	17.1%	17.4%	19.2%	15.6%	15.1%	15.0%	14.9%	14.7%	15.0%	15.3%	17.3%	14.7%	14.4%	14.9%	16.5%
EBITDA	34.4%	41.3%	41.0%	38.1%	40.2%	40.4%	40.1%	39.6%	41.8%	41.7%	41.4%	36.0%	40.2%	42.0%	42.1%	37.6%
Operating margin (adj)	31.6%	32.6%	32.2%	29.8%	32.2%	33.0%	33.4%	33.7%	33.7%	33.5%	34.0%	27.9%	31.9%	33.5%	35.3%	31.1%
Tax rate, % EBT	14.0%	14.9%	14.8%	16.3%	17.3%	17.1%	17.5%	17.0%	16.3%	18.2%	19.4%	14.7%	15.4%	18.2%	19.5%	14.8%
Net income (adj)	27.9%	29.7%	29.8%	27.3%	27.8%	28.1%	28.3%	28.8%	30.6%	28.2%	28.3%	24.5%	27.5%	28.0%	29.3%	27.5%

Cash Flow	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26E	4Q 26E
FCF	19,758	17,185	18,248	19,842	19,698	29,636	30,610	32,453	3,379	2,835	8,012	5,472	1,465	13,061	7,973	7,137
FCF, % sales	21%	21%	21%	22%	21%	29%	28%	28%	15%	12%	33%	22%	6%	52%	32%	27%
FCF, % of adj net income	75%	72%	72%	82%	75%	105%	100%	97%	50%	42%	118%	91%	22%	184%	108%	99%
FCF/share	\$7.39	\$6.45	\$7.13	\$8.17	\$8.08	\$12.18	\$12.76	\$13.65	\$1.39	\$1.17	\$3.30	\$2.24	\$0.60	\$5.35	\$3.28	\$2.96
Cash from Operations	23,410	21,194	22,791	24,266	24,530	35,400	36,189	38,475	4,174	3,878	9,169	7,309	2,514	14,239	9,147	9,072
Cash from Investing	(8,683)	(12,371)	878	(18,599)	(23,588)	(7,736)	(8,779)	(9,222)	(297)	(18,264)	(542)	(4,485)	(1,040)	(1,978)	(1,974)	(2,735)
Cash from Financing	(14,047)	(8,871)	(15,825)	(3,132)	(5,539)	(26,068)	(21,214)	(21,787)	10,422	(5,665)	(8,927)	(1,369)	530	(5,953)	(5,946)	(8,183)
Change in cash	502	(360)	7,732	2,246	(4,396)	1,596	6,196	7,466	14,369	(19,897)	(346)	1,478	1,979	6,308	1,228	(1,845)
Capex	(3,652)	(4,009)	(4,543)	(4,424)	(4,832)	(5,336)	(5,579)	(6,022)	(795)	(1,043)	(1,157)	(1,837)	(1,049)	(1,178)	(1,174)	(1,935)
Acquisitions, net	(60)	(17,652)	0	(15,146)	(17,541)	(2,400)	(3,200)	(3,200)	0	(14,458)	(1)	(3,082)	0	(800)	(800)	(800)
Buy backs	(3,456)	(6,035)	(5,054)	(2,432)	(5,953)	(12,642)	(7,178)	(7,178)	(2,127)	0	(1,902)	(1,924)	(4,028)	(2,512)	(2,512)	(3,589)

Balance Sheet	2021	2022	2023	2024	2025	2026E	2027E	2028E	1Q 25	2Q 25	3Q 25	4Q 25	1Q 26	2Q 26	3Q 26E	4Q 26E
Total Assets	182,018	187,378	167,558	180,104	199,210	207,007	218,424	231,677	193,671	193,389	192,816	199,210	200,894	204,895	205,879	207,007
Current Assets	60,979	55,294	53,495	55,893	55,624	64,164	74,148	85,007	71,551	54,498	54,611	55,624	59,173	63,331	64,038	64,164
LT Assets	121,039	132,084	114,063	124,211	143,586	142,843	144,276	146,670	122,120	138,891	138,205	143,586	141,721	141,564	141,841	142,843
Book Value of Equity	74,023	76,804	68,774	71,490	81,544	81,500	89,323	98,875	78,109	78,473	79,277	81,544	81,186	81,191	82,602	81,500
Total Liabilities	107,995	110,574	98,784	108,614	117,666	125,506	129,101	132,802	115,562	114,916	113,539	117,666	119,708	123,705	123,276	125,506
Cash + Marketable Securities	31,608	23,519	22,927	24,522	20,102	27,741	33,937	41,403	38,781	18,880	18,562	20,102	22,051	28,359	29,587	27,741
Total Debt	33,751	39,659	29,332	36,634	47,933	54,987	54,987	54,987	52,252	50,761	45,795	47,933	54,987	54,987	54,987	54,987
Net Debt	2,143	16,140	6,405	12,112	27,831	27,246	21,050	13,584	13,471	31,881	27,233	27,831	32,936	26,628	25,400	27,246
Net Debt:EBITDA	0.1x	0.5x	0.2x	0.4x	0.7x	0.7x	0.5x	0.3x	0.4x	0.8x	0.7x	0.8x	0.9x	0.6x	0.6x	0.7x
Total Debt:EBITDA	1.0x	1.2x	0.8x	1.1x	1.3x	1.3x	1.3x	1.2x	1.4x	1.3x	1.2x	1.4x	1.4x	1.3x	1.3x	1.4x
NOPAT (All in)	25,484	22,181	23,405	22,140	25,120	27,587	29,870	32,456								
ROIC (All in)	23%	19%	21%	21%	21%	21%	22%	24%								
ROIC (Tangible)	108%	81%	80%	73%	79%	82%	91%	102%								

Source: Company reports; Bernstein estimates and analysis

BERNSTEIN TICKER TABLE

Ticker	Rating	Cur	15 Jul 2026	Price	TTM	Adjusted EPS				Adjusted P/E (x)		
			Closing	Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
JNJ (J&J)	M	USD	247.02	261.00	37.9%	USD	10.75	11.65	12.81	23.0	21.2	19.3
OLD				251.00				11.54	12.62			
SPX			7,572.40									

PRICE TARGET CHANGE / ESTIMATE CHANGE IN BOLD

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

Source: Bloomberg, Bernstein estimates and analysis.

DISCLOSURE APPENDIX

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VALUATION METHODOLOGY**Johnson & Johnson**

We set a price target of \$261 using a target P/E multiple of 19.5x against our forward Q5-Q8 EPS estimate of \$13.38. The P/E target reflects observed absolute and relative historical multiples and our outlook for forward growth. We also use current EV/EBITDA vs. history and DCFs as secondary inputs to our valuation.

RISKS**Johnson & Johnson**

Upside risks include, but are not limited to: stronger than expected earnings growth based on better than expected market conditions (e.g., market-wide improvements in healthcare utilization, volume, or pricing), major disruptions to competitors (e.g., recalls, supply interruptions), or earlier than expected approvals / introductions of key pipeline products.

Downside risks to our target prices include greater than expected margin pressure driven by supply chain constraints and inflation related impact, recalls of major products, FDA warning letters or supply interruptions at major production facilities, accelerated pricing pressure or reimbursement changes in key categories, other policy initiatives or physician guideline changes that may negatively impact product utilization, a rapid deterioration in the global economic environment which could weaken discretionary healthcare spending, or unexpected fluctuations in foreign currency.

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION**EQUITY RATINGS DEFINITIONS****Bernstein brand**

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

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Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

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The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
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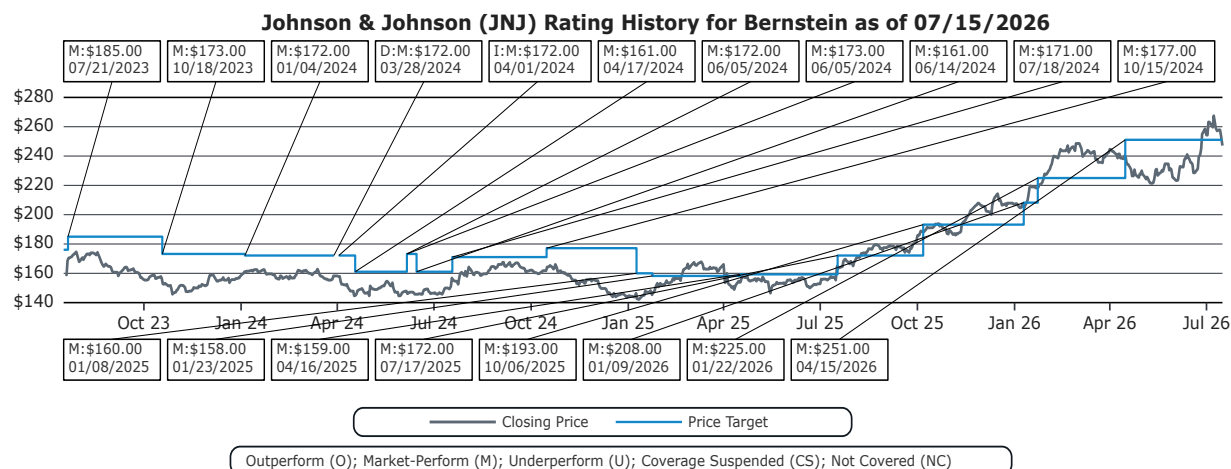
DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	51.2%	15.3%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.8%	16.2%
Underperform	SELL	13.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
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